ZEBRA TECHNOLOGIES
FIRST-QUARTER 2017 RESULTS

MAY 9, 2017

ZEBRA

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Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions, including the Enterprise business, could also affect profitability, reported results and the company's competitive position in it industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

First-Quarter 2017 Highlights

- Delivered solid Q1 results due to strong execution by our team
- Adjusted net sales of $866M, above our guidance range; organic net sales growth of 7.0%[1]; growth across all regions
- Increased gross margin and reduced operating expenses
- Adjusted EBITDA of 17.2%, an 80 bps year-over-year improvement from 1Q16
- Non-GAAP diluted EPS of $1.37, up 29% year-over-year
- Generated $104M of free cash flow, up 35% year-over-year

1. Excludes purchase accounting adjustments and sales from the divested wireless LAN business, and assumes constant FX to prior year period.

First-Quarter P&L Summary[1]

In millions, except per share data	1Q17	1Q16	Change
Adjusted Net Sales[2]	$866	$852	1.6%
Organic Net Sales Growth[2, 3, 4]			7.0%
Adj. Gross Margin[2,5]	46.4%	46.2%	20 bps
Adjusted EBITDA	$149	$140	6.4%
Adj. EBITDA Margin	17.2%	16.4%	80 bps
Non-GAAP diluted EPS	$1.37	$1.06	29.2%

- **7.0% Organic Net Sales Growth[2, 3, 4]**
  - Enterprise up 9%
  - Legacy Zebra up 3%
- **Regional Breakdown[4]**
  - North America up 5%
  - EMEA up 11%[3]
  - Asia Pacific up 1%[3]
  - Latin America up 16%
- **Adj. EBITDA margin improvement**
  - Higher sales
  - Gross margin expansion

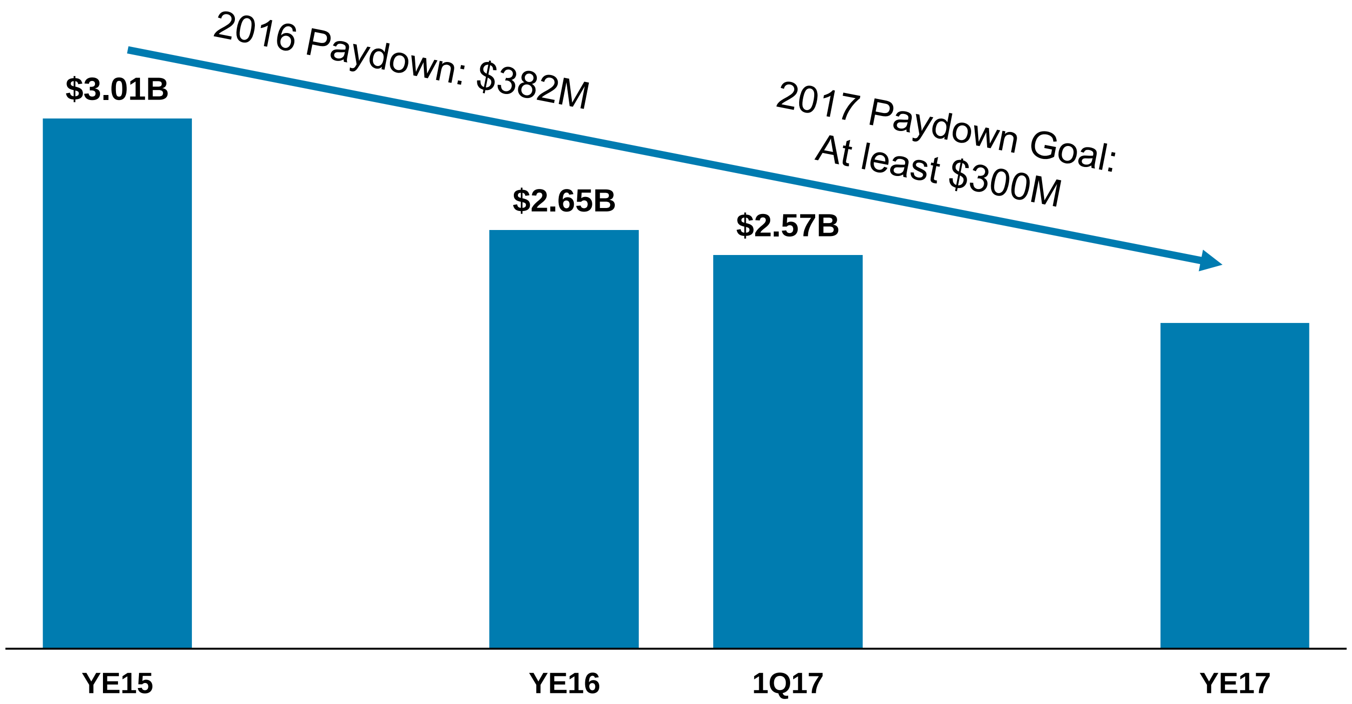
1. Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
2. Excludes purchase accounting adjustments
3. Assumes constant FX to prior year period
4. Excludes net sales from the divested wireless LAN business. Approximate adverse impacts: consolidated Zebra 4 percentage points (pps), Enterprise segment 7pps, North America 4pps, EMEA 3pps, APAC 8pps, Latin America 2pps
5. Excludes stock-based compensation expense

Balance Sheet and Cash Flow

Liquidity	• $180M in cash & cash equivalents as of the end of Q1 • No borrowings on $250M revolver; no financial covenant unless >$50M draw down
Debt	• $2.6B long-term debt at quarter-end • $80M of early principal payments in Q1 • Net-debt-to-adjusted-EBITDA ratio of 3.8x as of the end of Q1

Cash Flow	• $104M free cash flow in Q1
	• Primary drivers of 1Q17 free cash flow improvement from 1Q16:
	  • Adjusted EBITDA improvement
	  • Lower integration and restructuring expenses
	  • Lower interest expense
	  • Solid working capital management
	  • Lower capital expenditures

Debt Reduction is Top Priority



	YE15	YE16	1Q17	YE17
Cash & Cash Equivalents	**$192M**	**$156M**	**$180M**	
Net-Debt-to-Adjusted EBITDA Goal: ~3X	**4.8x**	**4.1x**	**3.8x**	

Financed October 2014 Enterprise acquisition with $3.25B of debt

Outlook

2Q17	• Expect solid organic growth and increased profitability • Adjusted net sales (2)% to +1% vs. LY; organic net sales growth of 3-6%; Excludes adverse impacts of 4 percentage points from wireless LAN, and an estimated 1 percentage point from FX • Adjusted EBITDA margin of 17-18% • Adjusted EPS range of $1.35 to $1.55
FY17	• Raising outlook to low- to mid-single digit organic sales growth; excludes adverse impacts of 3 percentage points from wireless LAN, and an estimated 1 percentage point from FX • Adjusted EBITDA margin range of 18-19% • Debt paydown of at least $300M
Other FY17 Assumptions	• Interest expense of $165-170M, including non-cash amortization of $20-22M • Stock-based compensation expense of $30-35M • Non-GAAP tax rate in the low- to mid-20% range • Capital expenditures ~ 2% of revenue • Depreciation and Amortization of $260-265M

ZEBRA

Strategic Focus

Extend **leadership** and outpace the competition

Advance **Enterprise Asset Intelligence** solutions

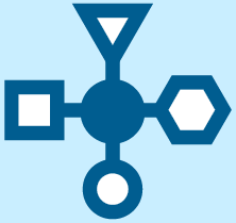
Complete **integration** of Enterprise business

Enhance **financial strength** and flexibility

Our Unique Value Proposition: Enterprise Asset Intelligence

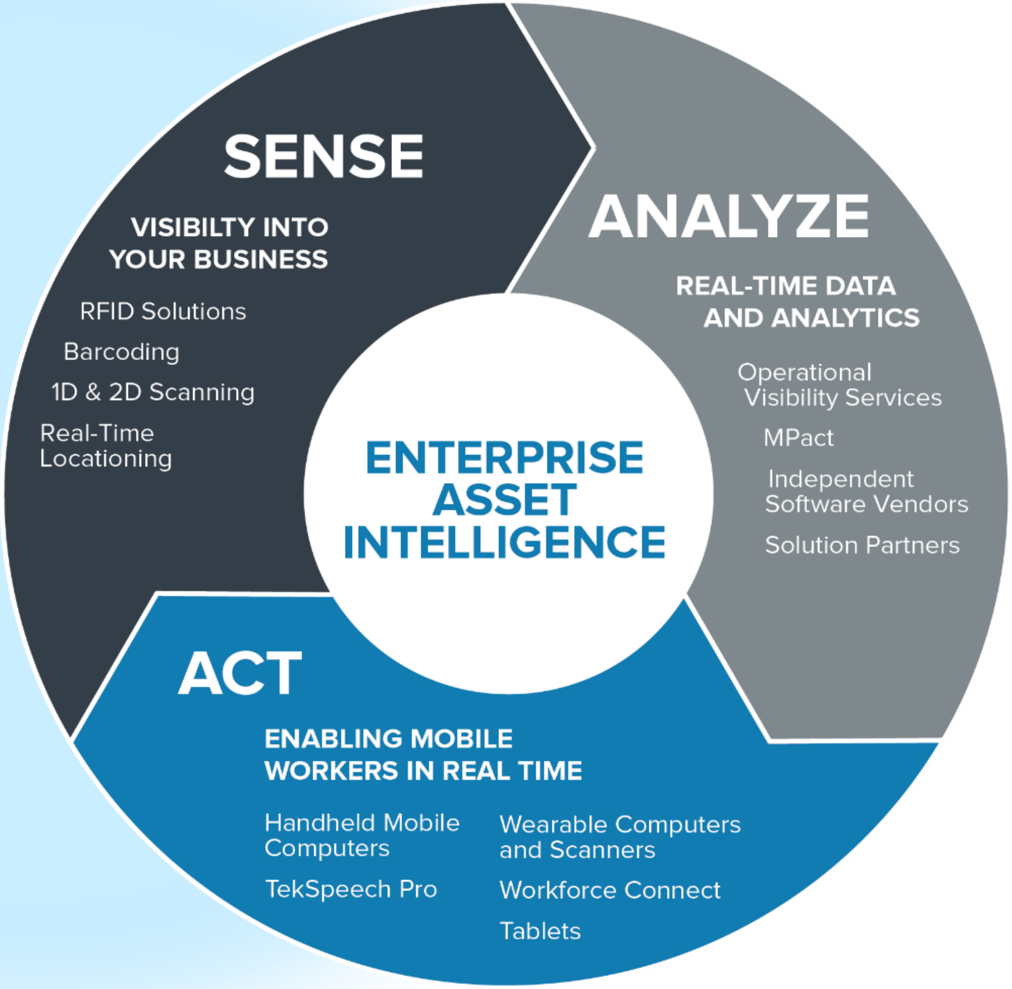
Growth through smart, visionary solutions that see the big picture

MOBILITY



INTERNET
OF THINGS

CLOUD



Enabling Visibility Across Vertical Markets

Zebra makes enterprises as smart and connected as the world we live in

Simplify Operations and Comply with Regulations

Empower Mobile Workers

Enhance Customer/Patient Experience

Track Inventory / Supply Chain Locationing

QUESTIONS?

APPENDIX

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Use of Non-GAAP Financial Information

This press release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,”, “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” “adjusted operating expenses,” and “constant currency”. Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” table and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain constant currency financial information to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the Company's foreign currency hedging program in both the current year and prior year periods The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Reconciliation

ORGANIC NET SALES GROWTH

	Three Months Ended April 1, 2017
Reported Net sales growth	1.9 %
Adjustments:	
Purchase accounting adjustments	(0.2) %
Impact of Wireless LAN Net sales[1]	4.2 %
Impact of foreign currency translation[2]	1.1 %
Organic Net sales growth	7.0 %

(1) The company sold the wireless LAN business in October 2016. We are excluding the impact of the net sales of this business in the prior year period when computing organic net sales growth.

(2) Operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations. We use the term "constant currency" to represent certain results that have been adjusted to exclude the estimated impact of exchange rate fluctuations for certain foreign currencies. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, the current period results at the currency exchange rates used in the comparable prior year period, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the company's foreign currency hedging program in both the current and prior year periods.

GAAP to Non-GAAP Reconciliation

NET SALES BY SEGMENT

(Amounts in millions)

	Three Months Ended		
	April 1, 2017	April 2, 2016	Percent Change
Legacy Zebra	$ 322	$ 314	2.5
Enterprise	544	538	1.1
Adjusted Net sales	866	852	1.6
Purchase accounting adjustments	(1)	(3)	(66.7)
Reported Net sales	$ 865	$ 849	1.9

GAAP to Non-GAAP Net Income Reconciliation

	Three Months Ended	
	April 1, 2017	April 2, 2016
Net income (loss)	$ 8	$ (26)
Adjustments to Net sales[1]		
Purchase accounting adjustments	1	3
Total adjustment to Net sales	**1**	**3**
Adjustments to Cost of sales[1]		
Share-based compensation	—	1
Total adjustments to Cost of sales	**—**	**1**
Adjustments to Operating expenses[1]		
Amortization of intangible assets	50	59
Acquisition and integration costs	27	36
Share-based compensation	8	8
Exit and restructuring costs	4	5
Total adjustments to Operating expenses	**89**	**108**
Adjustments to Other expense (income) [1]		
Amortization of debt issuance cost and discount	4	5
Foreign exchange loss (gain)	1	(2)
Forward interest rate swaps gain	—	(1)
Total adjustments to Other expense (income)	**5**	**2**
Income tax effect of adjustments[2]		
Reported Income tax benefit	(10)	(13)
Adjusted income tax expense	(21)	(19)
Total adjustments to income tax	**(31)**	**(32)**
Total adjustments	64	82
Non-GAAP Net income	**$ 72**	**$ 56**
GAAP earnings (loss) per share		
Basic	$ 0.16	$ (0.50)
Diluted	$ 0.16	$ (0.50)
Non-GAAP earnings per share		
Basic	$ 1.40	$ 1.07
Diluted	$ 1.37	$ 1.06
Basic weighted average shares outstanding	51,842,025	51,299,632
Diluted weighted average and equivalent shares outstanding	52,946,883	52,045,345

(1) Presented on a pre-tax basis.

(2) Represents the adjustment to the GAAP basis tax provision commensurate with non-GAAP adjustments.

GAAP to Non-GAAP EBITDA Reconciliation

	Three Months Ended	
	April 1, 2017	April 2, 2016
Net income (loss)	$ 8	$ (26)
Depreciation	19	18
Amortization of intangible assets	50	59
Total Other expense	42	49
Income tax benefit	(10)	(13)
EBITDA (Non-GAAP)	**109**	**87**
Adjustments to Net sales		
Purchase accounting adjustments	1	3
Total adjustments to Net sales	**1**	**3**
Adjustments to Cost of sales		
Share-based compensation	—	1
Total adjustments to Cost of sales	**—**	**1**
Adjustments to Operating expenses		
Acquisition and integration costs	27	36
Share-based compensation	8	8
Exit and restructuring costs	4	5
Total adjustments to Operating expenses	**39**	**49**
Total adjustments to EBITDA	**40**	**53**
Adjusted EBITDA (Non-GAAP)	**$ 149**	**$ 140**
Net income (loss) % Net sales	0.9%	(3.1)%
Adjusted EBITDA % of Non-GAAP Sales	17.2%	16.4 %

GAAP to Non-GAAP Reconciliation

FREE CASH FLOW

	Three Months Ended	
	April 1, 2017	April 2, 2016
Net cash provided by operating activities (GAAP)	$ 117	$ 96
Less: Purchases of property, plant and equipment	(13)	(19)
Free cash flow (Non-GAAP measure)[1]	$ 104	$ 77

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.